the 1990s, the Central government made a lot of investments from the Budget in public-sector enterprises to produce heavy machinery, basic goods, electricity, etc. Public resources were also spent on nationalizing a number of consumer industries and services like textiles, airlines, insurance, banking and so on.

The Central government stopped fresh investments and new nationalizations after 1990. However, many of these public-sector industries and financial institutions undertake expansions or have become loss-making, requiring constant provision of capital and survival support. The Centre's Budget bears the heavy burden of such recapitalization and loans and grants to pay salaries and maintenance costs. Such expenditure on sustaining an unsustainable public sector must be stopped.

There were seventy loss-making public-sector enterprises that incurred aggregate losses of over Rs 31,000 crore in 2018–19. There were also more than fifteen closed public-sector enterprises. Most of these loss-making and closed enterprises are in heavy industry and consumer goods. Every year, the government has to come up with budgetary support (revival) packages to keep some of the public enterprises afloat, to pay salaries to the persons employed or to offer them a voluntary retirement package. Sometimes, a lot of capital is injected to undertake modernization, expansion and adoption of new technology. In 2019–20, the government decided to spend over Rs 70,000 crore for the revival of BSNL and MTNL. Much of this cost was budgeted and spent in 2020–21.

Loss-making enterprises need to be wound up with their land and buildings transferred to a sovereign land management agency. This agency can monetize them in the best possible manner, from outright sale to REIT or lease. These reforms can easily save the government Rs 2–3 lakh crore a year without any loss to public welfare.

There are financial-sector enterprises in which the government is forced to pump in capital year after year. In the past three years, it has pumped in